

₹20,000 salary.

A crore is still possible.

The full numbers from my ₹4,000 SIP video, the step-up trick explained properly, and how to start this week.

You commented "PDF", so here it is. In the video I showed how 20% of a ₹20,000 salary, put into one equity fund every month, can grow into crores if you give it time and raise it a little every year. This guide shows every number behind that, fixes one figure the video got too generous with, and walks you through setting it up yourself.

- 1 ₹4,000 a month is enough to start.** Left alone for 30 years at 12%, it can grow to about ₹1.41 crore.
- 2 The step-up is what changes the game.** Raise the SIP by 10% every year and the same plan reaches about ₹3.53 crore.
- 3 Time matters more than the fund.** Start five years later and the step-up plan ends near ₹1.71 crore, less than half.

MONTHLY SIP

YEARLY STEP-UP

TIME

COULD REACH

₹4,000

10%

30 yrs

₹3.53 cr

What ₹4,000 a month *could become*

Two plans side by side: the same ₹4,000 every month forever, and ₹4,000 raised by 10% every year. Both assume 12% a year.

1 A flat SIP of ₹4,000

AFTER	YOU PUT IN	PORTFOLIO VALUE	WHAT IT MEANS
10 years	₹4,80,000	₹9.3 lakh	Almost double your money
20 years	₹9,60,000	₹40.0 lakh	About 4x what you put in
30 years	₹14,40,000	₹1.41 crore	About 9.8x. Most of it came in the last 10 years

2 The same SIP, stepped up by 10% a year

AFTER	YOU PUT IN	PORTFOLIO VALUE	MONTHLY SIP THAT YEAR
10 years	₹7,64,996	₹13.5 lakh	₹9,432
20 years	₹27,49,200	₹79.6 lakh	₹24,464
30 years	₹78,95,713	₹3.53 crore	₹63,452

12% a year, compounded monthly (1% a month), SIP paid at the start of each month. Rounded. Worked out in a script, see the last page.

THE ONE THING TO NOTICE

Between year 20 and year 30, the flat SIP more than triples. The money does its biggest work at the end, which is why stopping early hurts so much.

ABOUT THE ₹4.5 CRORE IN THE VIDEO

In the video I said a 10% step-up crosses ₹4.5 crore in 30 years. When I ran it again properly, 10% a year gives about **₹3.53 crore**. To reach ₹4.5 crore at 12% returns you need to raise the SIP by about **12% every year**. Still a huge number from a ₹4,000 start, but I'd rather you plan with the honest one.

Where the ₹4,000 *actually comes from*

20% sounds small on paper and big at the end of the month. Here is one way a ₹20,000 salary can make room for it.

3 One example split of ₹20,000

BUCKET	AMOUNT	SHARE	WHAT GOES HERE
Needs	₹10,000	50%	Rent or home share, food, travel to work, phone, bills
Wants	₹4,000	20%	Eating out, shopping, trips, subscriptions
Safety money	₹2,000	10%	Emergency fund in a savings account or liquid fund
SIP	₹4,000	20%	Goes out on salary day, before you spend anything

An example, not a rule. If your rent is higher, shrink wants first, not the SIP.

4 Do these two things before (or with) your first SIP

- 1 Build a small emergency fund.** Aim for 3 to 6 months of expenses over time. Without it, the first surprise bill forces you to stop or break your SIP, usually when markets are down.
- 2 Get basic health cover.** If your employer gives group health insurance, find out the cover amount. One hospital bill can wipe out years of SIP.
- 3 Clear high-interest debt.** A credit card at 36% a year beats any fund in reverse. Paying it off is the best "return" you can get.

THIS TOOK ME A WHILE TO GET

The SIP doesn't come from what's left at the end of the month. Nothing is ever left. It has to leave your account on salary day, before you see it.

Flexi cap or multi cap: *pick one and stop*

At ₹4,000 a month, splitting across three funds only adds confusion. One diversified equity fund already holds 40 to 80 companies.

5 How the two categories differ

FLEXI CAP FUND

- At least 65% in equity
- Fund manager can move freely between large, mid and small companies
- Can lean toward large companies when markets look expensive
- Usually a little steadier ride

MULTI CAP FUND

- At least 75% in equity
- At least 25% each in large, mid and small companies, always
- Fixed small cap share means bigger swings up and down
- Suits you if you can sit through sharp falls

Category rules set by SEBI's mutual fund categorisation circulars (2017, multi cap revised 2020, flexi cap added 2020).

6 What to check before you choose a fund

- 1 Direct plan, not regular.** Same fund, lower yearly cost, because no distributor commission is paid out of your money.
- 2 Expense ratio.** The yearly fee as a % of your money. Lower is better when everything else is similar.
- 3 Long track record.** Look at 5 and 10 year returns against the category average and its benchmark, not last year's top performer.
- 4 Exit load.** Many equity funds charge about 1% if you sell within a year. Check the scheme page.

A SHORTCUT I USE NOW

If two funds look almost the same, I stop comparing and pick either. The difference between two decent funds is small. The difference between starting now and "after I research more" is huge.

What if the market *gives you less?*

12% is a reasonable long-term assumption for Indian equity, not a promise. Here is what the plan looks like if returns come in lower.

7 Same plan, three different return rates (30 years)

YEARLY RETURN	FLAT ₹4,000 SIP	WITH 10% STEP-UP	HOW TO READ IT
8%	₹60.0 lakh	₹1.92 crore	A weak 30 years for equity
10%	₹91.2 lakh	₹2.57 crore	Below the long-run average
12%	₹1.41 crore	₹3.53 crore	The assumption used in the video

You put in ₹14,40,000 (flat) or ₹78,95,713 (step-up) in every row. Only the return changes.

8 Three honest things about returns

- 12% is an average, not a straight line.** Some years will be +30%, some –20%. The Nifty 50 has had several falls of 30% or more. Your SIP keeps buying through them, which is the whole point.
- Inflation eats part of the crore.** At 6% inflation, ₹3.53 crore in 30 years buys roughly what ₹61.5 lakh buys today. Still a big amount, just not "crorepati" in today's money.
- Step-up protects you from low returns.** Look at the table: 10% step-up at 8% returns beats a flat SIP at 12%. The part you control matters more than the part you don't.

WHAT FINALLY SETTLED IT FOR ME

I can't control the market's return. I can control how much I put in and how long I stay. Those two levers decide most of the outcome.

Grow your SIP *with your salary*

A step-up SIP raises your monthly amount once a year by a fixed percentage. If your salary goes up 10%, your SIP goes up 10% too.

9 The 10% step-up, year by year

YEAR	MONTHLY SIP	TOTAL PUT IN	VALUE AT YEAR END
Year 1	₹4,000	₹48,000	₹51,237
Year 5	₹5,856	₹2,93,045	₹3.94 lakh
Year 10	₹9,432	₹7,64,996	₹13.5 lakh
Year 15	₹15,190	₹15,25,079	₹34.7 lakh
Year 20	₹24,464	₹27,49,200	₹79.6 lakh
Year 25	₹39,399	₹47,20,659	₹1.71 crore
Year 30	₹63,452	₹78,95,713	₹3.53 crore

10 How much step-up gets you where

10% A YEAR ₹3.53 cr You put in ₹79.0 lakh	11% A YEAR ₹3.98 cr You put in ₹95.5 lakh	12% A YEAR ₹4.50 cr You put in ₹1.16 crore
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All at 12% returns over 30 years, starting at ₹4,000. So the "₹4 crore" you see on social media needs about an 11% step-up, and ₹4.5 crore needs about 12%.

THE ONE THING TO NOTICE

₹63,452 in year 30 sounds scary. But if your salary also grew 10% a year, it would be about ₹3.17 lakh by then, and the SIP is still just 20% of it.

Setting up your SIP *step by step*

The whole setup takes under an hour if your documents are ready. You only do it once.

11 The setup

- 1 **Keep PAN, Aadhaar and bank details ready.** Your PAN must be linked to Aadhaar. You will also need a cancelled cheque or bank statement for some platforms.
- 2 **Finish your KYC.** It is done once and works across all fund houses. Most platforms do it online with Aadhaar OTP and a selfie or video check.
- 3 **Choose where to invest.** The fund house's own website, or any SEBI-registered investment platform. Make sure it shows the **direct** plan.
- 4 **Pick one flexi cap or multi cap fund** using the checks on page 4. Choose the growth option, not IDCW, so returns stay invested.
- 5 **Set the SIP date 1 to 3 days after salary day.** Set ₹4,000 per month and turn on auto-pay (e-mandate or UPI AutoPay) so you never have to remember.
- 6 **Turn on step-up (also called top-up).** Many platforms let you add a yearly increase of a fixed % or amount when you create the SIP. If yours doesn't, set a calendar reminder for your appraisal month and raise it by hand.
- 7 **Add a nominee.** It takes two minutes and saves your family a lot of paperwork later.

12 If life gets in the way

DO THIS

- Short on money? Pause the SIP for a few months
- Big expense coming? Lower the amount, don't cancel
- Got a bonus? Put a lump sum into the same fund

AVOID THIS

- Stopping because the market fell
- Selling the whole fund to buy a phone
- Opening a new fund every time one trends online

Keep more of *what you build*

You pay tax only when you sell, and only on the profit. Here is how it works for equity mutual funds today.

13 Tax on equity mutual funds (FY 2026-27)

IF YOU SELL AFTER	TYPE OF GAIN	TAX RATE	NOTES
12 months or less	Short-term (STCG)	20%	On the full profit
More than 12 months	Long-term (LTCG)	12.5%	Only on profit above ₹1.25 lakh in a financial year

Plus cess, and surcharge at higher incomes. Rates unchanged in Union Budget 2026. Tax rules can change, check the latest before you sell.

14 Three things most people miss

- Every SIP instalment has its own 12-month clock.** When you sell, the oldest units go first. Units bought in the last 12 months are still short-term.
- Use the ₹1.25 lakh every year.** Long-term profit up to ₹1.25 lakh a year is tax-free. Some investors sell and reinvest that much each year to reset their buying price. Do the maths for your own case first.
- Don't withdraw everything in one year.** On the 30-year step-up plan, profit is about ₹2.74 crore. Taking it all out in one go means roughly **₹34.1 lakh** in LTCG tax (before cess). Spreading withdrawals across years uses the ₹1.25 lakh limit again and again.

15 Habits that keep the plan alive

- Check once a year, not once a day.** Daily ups and downs mean nothing on a 30-year plan.
- Step up on appraisal day.** Before the raise hits your lifestyle.
- Keep one goal per fund.** This SIP is for the long term. Don't touch it for short-term wants.

The glossary, *in plain words*

Every term from the video and this guide, with a one-line version in Tanglish.

SIP

SYSTEMATIC INVESTMENT PLAN

A fixed amount invested into a mutual fund every month, automatically.

"Maasa maasam auto ah invest aagum."

Compounding

RETURNS ON RETURNS

Profits get reinvested and start earning their own profits.

"Vatti-ku mela vatti."

Large / mid / small cap

COMPANY SIZE

Top 100, next 150, and the rest of listed companies by market value.

"Periya, nadutharam, chinna company."

Expense ratio

YEARLY FUND FEE

The % of your money the fund charges each year to run it.

"Fund-ku kudukkura varusha fees."

KYC

KNOW YOUR CUSTOMER

One-time identity check needed before you can invest.

"Neenga yaarunu oru thadava prove pannanum."

Step-up SIP

ALSO CALLED TOP-UP SIP

Your SIP amount goes up by a fixed % or amount once every year.

"Salary yerumbodhu SIP-um yerum."

Flexi cap fund

EQUITY FUND CATEGORY

Invests 65%+ in shares of any size company, as the manager chooses.

"Manager-ku full freedom."

NAV

NET ASSET VALUE

The price of one unit of a mutual fund on a given day.

"Oru unit-oda indraya vilai."

Exit load

EARLY-EXIT CHARGE

A small fee, often 1%, if you sell within a set period.

"Seekram eduthaa konjam penalty."

Growth option

VS IDCW

Profits stay inside the fund and keep compounding, nothing is paid out.

"Laabam ulleye valarum."

Corpus

TOTAL PORTFOLIO VALUE

The full amount your investments are worth at a point in time.

"Mothama serndha panam."

Multi cap fund

EQUITY FUND CATEGORY

Must keep at least 25% each in large, mid and small companies.

"Moonu size-layum kandippa irukkum."

Direct plan

VS REGULAR PLAN

The version of a fund with no distributor commission, so lower cost.

"Middle-man illa, commission illa."

LTCG / STCG

CAPITAL GAINS TAX

Tax on profit when you sell. Long-term after 12 months, short-term before.

"Laabathukku mattum dhaan tax."

Inflation

RISING PRICES

Things cost more every year, so the same rupee buys less later.

"Indha ₹100 adutha varusham ₹100 illa."

How the *numbers* were worked out

Every figure in this guide came from a script, not a calculator in my head. Here is the method and where the rules come from.

1. **SIP projections.** Monthly SIP paid at the start of each month, 12% yearly return taken as 1% a month (the same method most online SIP calculators use, and the one behind the video's ₹9.3 lakh, ₹40 lakh and ₹1.4 crore). Step-up applied once every 12 months. Using a stricter "effective" monthly rate gives slightly lower numbers, for example ₹1.23 crore instead of ₹1.41 crore for the flat 30-year SIP.
2. **Step-up correction.** 10% step-up for 30 years gives ₹3,53,36,494. ₹4.5 crore needs about a 12% yearly step-up (₹4,49,66,411). The video's ₹4.5 crore at 10% was overstated.
3. **Return scenarios.** 8%, 10% and 12% are assumptions. Long-run Nifty 50 Total Return Index CAGR since its 1999 launch has been in the low-to-mid teens, but past returns do not guarantee future returns. Source: NSE Indices factsheets.
4. **Inflation.** 6% a year assumed, close to India's long-run CPI average and RBI's $4\% \pm 2\%$ target band. $₹3.53 \text{ crore} \div 1.06^{30} \approx ₹61.5 \text{ lakh}$.
5. **Fund categories.** SEBI circular on categorisation and rationalisation of mutual fund schemes (Oct 2017), multi cap revision (Sep 2020) and flexi cap introduction (Nov 2020).
6. **Tax.** Equity mutual fund STCG 20% and LTCG 12.5% above ₹1.25 lakh a year, from Union Budget July 2024, kept unchanged in Union Budget 2026. Tax example: profit ₹2,74,40,781 minus ₹1,25,000, times 12.5% $\approx ₹34.1 \text{ lakh}$, before cess and surcharge.
7. **Salary comparison.** ₹20,000 grown 10% a year for 29 years $\approx ₹3.17 \text{ lakh}$. 20% of that $\approx$ the year-30 SIP of ₹63,452.

DISCLAIMER

This guide is for education only. It is not investment, tax or legal advice, and it does not recommend any specific mutual fund, fund house or platform. I am not a SEBI-registered investment adviser. Mutual fund investments are subject to market risks. Read all scheme-related documents carefully. Returns of 8 to 12% are assumptions, not promises, and tax rules can change. Speak to a SEBI-registered adviser before acting.

Started your first SIP? *Tell me the amount* in the comments.

Free to share. Made by Abinash at [@buildwithabinash](#). Send this to a friend who just got their first salary and keeps saying "next month I'll start".